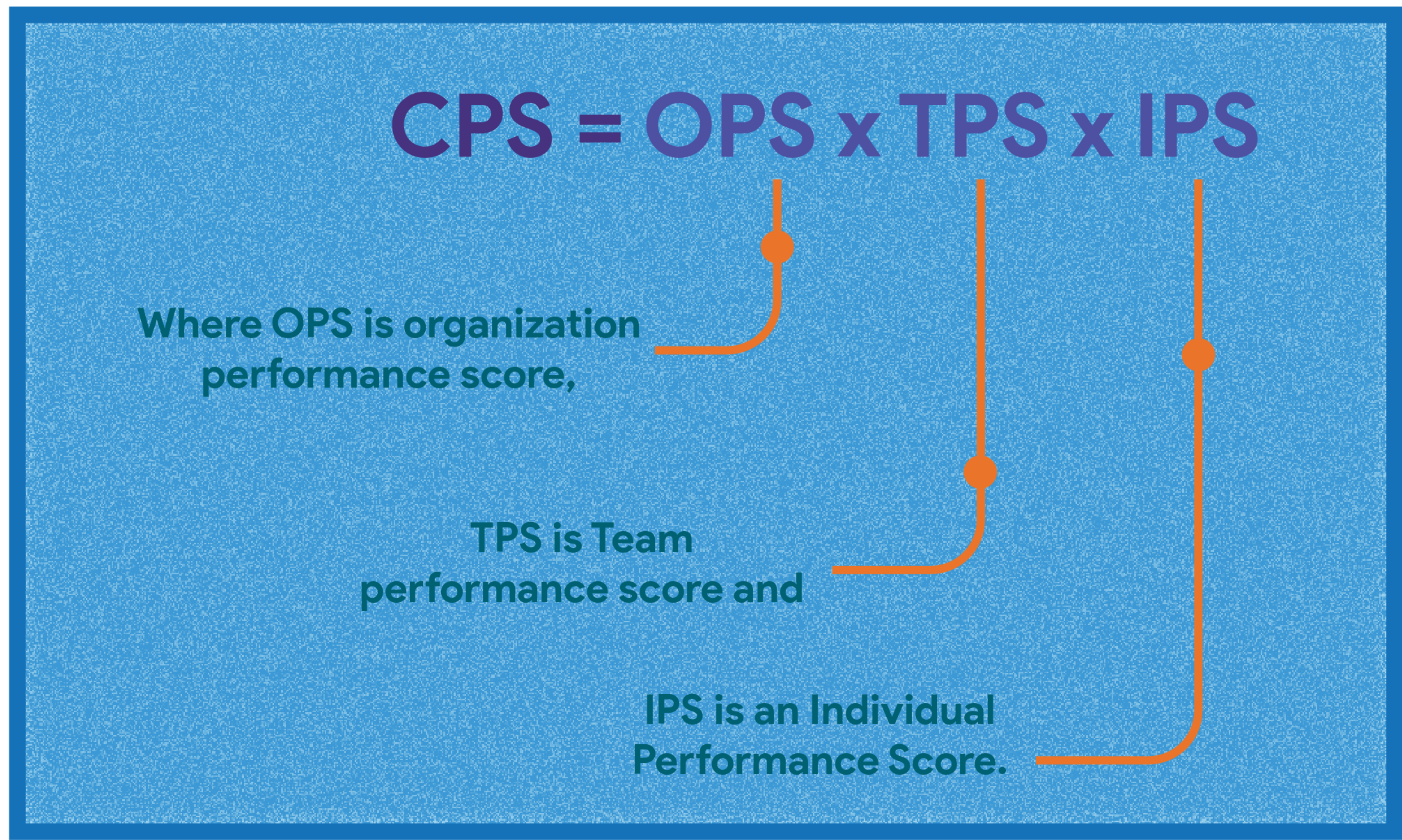


694a99ab1267cc03a6f4

The purpose of variable pay is to motivate individuals to achieve their goals. If you need to emphasize on alignment, you may use a combination of Individual goals, team goals and organizational goals by creating a composite performance score (CPS) that can be expressed as:



They can be derived from tools such as the Balanced Scorecard (BSC) and Management by Objectives (MBO). We discussed them in the performance management in the second book of the book series “The HR Mastermind”. The payment of variable pay can be done quarterly, half yearly or once in a year.

2. Incentives



Incentives are over and above CTC

The incentives are generally not shown to employees as part of CTC. There is a reason behind it. Once you make anything part of CTC, you cannot withdraw it or modify it. Incentives are business expenses aimed at driving specific business parameters, such as revenue or profitability. You must have flexibility to make changes to incentives as per the needs of the business. To create flexibility incentive plans are introduced.